

What is the best way of contracting or delegating for outcomes?

In an outcomes-oriented world, there is increasing pressure for ‘delegating or contracting for outcomes’, contrasting with the more traditional approach of just ‘delegating or contracting for outputs only’. This Types of Contracting or Delegating for Outcomes or Outputs Tool (E3) describes the four possibilities for contracting for outcomes or outputs. The same options are available in situations where you are delegating rather than formally contracting.

The idea of contracting for outcomes sounds great. However, as with many ideas, the more you think about it, the more complex it becomes. People traditionally contracted for outputs rather than outcomes, not because they didn’t realize contracting for outcomes was possible, but because there are trade-offs in using the different options for contracting and delegation.

The first option is to simply ‘contract for outputs only’. This is the traditional approach, and its advantage is that measuring an output proves the agency, provider, organization, or initiative made it happen. Outputs, by definition, are controllable, so measuring them shows the initiative made them happen. The second option is to ‘contract for outputs, plus any higher-level (non-output) controllable indicators’. Because these higher level indicators are also controllable, just measuring them means you know the initiative made them happen. For example, an increase in knowledge by workshop participants, where the workshop itself is the output.

The third option adds to the second by also requiring the initiative to prove they are ‘focusing on outcomes, not just on outputs’. This is sometimes called ‘managing for outcomes’, this is in contrast to the fourth option - contracting for outcomes. (See the How an Agency, Provider, Policy, Organization or Initiative Can Prove it is Managing For Outcomes, Not Only Outputs Tool (E5)).

The fourth type of contracting or delegation is ‘contracting for outcomes’, also described as ‘contracting for not-necessarily controllable indicators’.